

Advertisement (Regulation) Act, 2019

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Advertisement (Regulation) Act, 2076

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Amending Act

1. Some Nepal Acts Amendment Act, 2082 2082.04.14

Act Number 14 of the year 2076

An Act Made to Provide for the Regulation of Advertisements

Preamble: Whereas, it is desirable to make legal provisions regarding advertisements made for the promotion, sale, or distribution of goods or services in the market, or for the publicity of such goods or services, and for regulating the business related thereto;

Now, therefore, the Federal Parliament has enacted this Act. Chapter-1

Preliminary

1. Short Title and Commencement: (1) This Act may be called the "Advertisement (Regulation) Act, 2076".
(2) This Act shall come into force immediately. 2. Definitions: Unless the subject or context otherwise requires, in this Act,-

(a) "Chairperson" means the Chairperson of the Board.

(b) "Prescribed" or "as prescribed" means prescribed or as prescribed in the rules framed under this Act.

(c) "Board" means the Advertisement Board constituted under Section 14.

(d) "Ministry" means the Ministry of Communication and Information Technology of the Government of Nepal.

(e) "Advertisement" means any word, sentence, picture, image, sign, poster, pamphlet, light, symbol, structure, or any kind of audio, visual, or audio-visual material that is publicly publicized or prepared for the purpose of publicity regarding any goods, service, program, or opportunity through means including print, electronic media, online, social networking sites, hoarding boards, balloons, or any structure.

(f) "Member" means a member of the Board and also includes the Chairperson of the Board.

(g) "Hoarding Board" means a means placed or to be placed for displaying advertisements, and also includes digital displays, video boards, LCD boards, LED boards, roller boards, glow boards, neon signs, projectors, stall displays, or other similar technologies or types of outdoor advertising media.

(h) "Advertiser" means a person or entity that causes an advertisement to be published, broadcast, or displayed on their behalf, or that advertises.

(i) "Advertising Agency" means a firm, organization, or company established in accordance with the prevailing law to carry out the business of producing, distributing advertising materials, or conducting advertising-related business. Chapter-2

Provisions Relating to Advertisements

3. Advertisements may be made: Subject to this Act and the prevailing law, a person may advertise or cause

an advertisement to be made to promote goods or services, indicating the quality or characteristics of such goods or services they sell or distribute, or to provide consumers with information for choosing goods or services, or to provide information about any program or opportunity organized by them, or to provide information on any matter for the public interest. 4.

License Required for Advertising through Hoarding Board: (1) A person wishing to install a hoarding board visible from a public place and to advertise on it must obtain a license from the relevant local level. (2) Notwithstanding anything contained in sub-section (1), there shall be no bar to installing a hoarding board within the premises of a house or office where one's profession or business is carried out, in a manner that does not obstruct a public road or land or affect the safety of the general public, and in a size not exceeding the prescribed size, not contrary to this Act, for advertising in relation to one's profession or business. (3) A person wishing to advertise through a hoarding board under sub-section (1) shall submit an application for a license to the office of the relevant local level. (4) Upon receiving an application under sub-section (3), the office of the local level shall conduct necessary inquiries and, if it deems it appropriate to grant a license for advertising through a hoarding board under this Act and the prevailing law, shall issue the license. The person or entity obtaining such license shall remove such hoarding board after the expiry of the period mentioned in the license. (5) Notwithstanding anything contained in sub-section (4), a license for such advertisement through a hoarding board shall not be granted in the following circumstances:- (a) if the advertisement is contrary to this Act or the prevailing law, (b) if it causes obstruction or inconvenience to the movement of the general public, (c) if it adversely affects the natural beauty of the city or locality, (d) if it adversely affects the original culture and natural beauty of religious, cultural, archaeological, historical sites or places listed in the World Heritage List, (e) if it adversely affects footpaths and public places, (f) regarding placing such board on poles including electricity, telephone poles, (g) if it affects vehicular traffic, (h) if it blocks the windows or doors of any house, hindering air and sunlight from entering such house, (i) if it is contrary to other provisions specified in the local law. (6) The application for a license to install a hoarding board, the details and documents to be attached with the application, fees, the duration of such license, and other related provisions shall be as per the law of the local level. 5.

Advertisements Not to be Made: (1) Notwithstanding anything contained in the prevailing law, advertisements shall not be made on the following matters:- (a) matters encouraging the production, sale, distribution, use, or consumption of any goods, substances, or services whose production, sale, distribution, use, or consumption is prohibited by the prevailing law of Nepal, (b) matters encouraging playing or causing to play gambling, or buying or causing to buy unauthorized lottery tickets under the prevailing law, (c) matters encouraging the use or consumption, or promotion of, any matter deemed obscene under the prevailing law, or other related matters, goods, or services, (d) matters encouraging the production, sale, distribution, use, or consumption of weapons or explosive substances, or other such goods or substances that may create a threat to the security, peace, and order of Nepal, (e) matters relating to drugs sold only on the recommendation of a physician, (f) matters relating to goods or services for which permission under the prevailing law is required for sale, distribution, or use in Nepal, where such permission has not been obtained, (g) matters which the prevailing law prohibits advertising, (h) in textbooks of schools and universities, Provided that there shall be no bar to mentioning matters providing educational information. (i) matters encouraging superstition. (2) Notwithstanding anything contained in the prevailing law, advertisements shall not be made in the following manner:- (a) in a manner prejudicial to the sovereignty, territorial integrity, nationality, independence of Nepal, or harmonious relations between federal units, public peace, good order, or international relations, (b) in a manner amounting to sedition, contempt of court, or incitement to commit an offense, (c) using the national flag of Nepal, national anthem, coat of arms of Nepal or any or all parts thereof, or national personalities, or in

a manner that devalues them, (d) in a manner causing insult or defamation, (e) in a manner contrary to public decency or morality, (f) in a manner that disparages labor, or encourages gender discrimination and caste-based untouchability, (g) in a manner that disturbs harmonious relations between religions, castes, genders, ethnicities, or communities, or discriminates on any grounds including economic status, language, region, ideological belief, or disability, (h) using, without the permission or approval of the holder of rights, industrial property including trademarks, patents, designs, (i) in a manner that discourages or disincentivizes domestic or any other products, (j) in a manner that spreads confusion or rumors, incites excitement, or engages in other such disorderly conduct, (k) in a manner that adversely affects fair competition, (l) in a manner that compares with other's products, goods, or services and shows such products, goods, or services as inferior or bad, (m) in a manner that provides information on matters that are confidential by law, and (n) in a manner contrary to the prevailing law. (3) No person shall advertise or cause to be advertised in a manner that adversely affects the purity of elections or obstructs elections.

6. Must Broadcast Without Advertisement Deleted by Some Nepal Acts Amendment Act, 2082.: (1) Foreign television channels broadcasting in Nepal shall broadcast without advertisement (clean feed).

(2) Notwithstanding anything contained in sub-section (1), institutions that have already entered into agreements to download and broadcast foreign channels at the time of commencement of this Act shall broadcast without advertisement (clean feed) within one year of the commencement of this Act.

(3) While broadcasting foreign advertisements, Nepali communication media shall not dub and broadcast them. Added by Some Nepal Acts Amendment Act, 2082. (4) Other provisions relating to advertisement-free broadcasting shall be as prescribed.

7. May Declare Prohibited Area for Advertisement: (1) A local level may, based on the standards determined by the Board, declare an area within a certain distance of any religious, cultural, or archaeological site, educational or health institution, or such site or institution as an advertisement-prohibited area, where advertisements of all types or subjects, or of a specific type or subject, are not allowed. Notice of such declaration of prohibited area shall be published publicly.

(2) Advertisements of the type or subject so prohibited shall not be made in the prohibited area under sub-section (1). 8. May Determine Specific Time: (1) The Board may, by publishing a public notice, determine the time period for broadcasting or publishing advertisements of a specific subject broadcast or published through radio, television, online, or similar electronic communication media.

(2) Advertisements of such subject shall not be broadcast or published at times other than the time period determined under sub-section (1). 9. Name, Address, and Warning Message of Advertiser to be Mentioned in Advertisement: (1) The name and address of the person on whose behalf the advertisement is made shall be clearly mentioned in the advertisement.

(2) An appropriate warning message shall also be mentioned in the advertisement regarding the possible effects of using the advertised goods or services, or the awareness to be observed. 10. Advertisements Not to be Made via Email or SMS Without Consent: (1) An advertising message or email shall not be sent to anyone's email or mobile via email or SMS without the consent of the concerned person.

(2) Notwithstanding anything contained in sub-section (1), there shall be no bar for the Government of Nepal, a Provincial Government, or a local level to transmit informative notices for public interest or send advance warnings or information in disaster situations, even without the consent of the concerned person. 11.

Procedure and Standards Determined by Prevailing Law to be Followed: Where the prevailing law has determined a specific procedure, condition, or standard to be followed for the advertisement of a specific type of goods or services, such procedure, condition, or standard determined by such law shall also be followed in addition to the matters mentioned in this Act. 12. Advertisements Not to be Made Without Authentic Information: (1) An electronic, online, print, or communication medium that publishes or broadcasts an

advertisement, or a person or entity that advertises through social media, shall not make or cause to be made an advertisement without having information about the authenticity of the name and address of the advertiser.

(2) If a dispute arises regarding any advertisement and the name and address of such advertiser cannot be found, the institution or person making such advertisement shall be responsible.

13. Advertisements to be Made Free of Cost or at Concessional Rates: Communication media shall publish or broadcast notices or advertisements transmitted by the Ministry, Provincial Government, or local level for the welfare or information of the general public during times of disaster, free of cost or at concessional rates.

Chapter-3 Provisions Relating to Advertisement Board

14. Formation of Advertisement Board: (1) For carrying out work relating to regulation of advertisements, an Advertisement Board shall be formed as follows:- (a) A person appointed by the Government of Nepal - Chairperson (b) Joint Secretary, Ministry of Home Affairs - Member (c) Joint Secretary, Ministry of Industry, Commerce and Supplies - Member (d) Joint Secretary, Ministry of Communication and Information Technology - Member (e) Representatives of two organizations nominated by the Ministry from among advertisers, advertising agencies, or associations/institutions engaged in advertising broadcast and distribution - Members (f) Three persons, including at least one woman, nominated by the Ministry from among persons having at least ten years of experience in the field of consumer rights, interests, or mass communication - Members (2) An employee designated by the Board from among its senior employees shall serve as the Secretary of the Board. (3) While nominating members under clause (f) of sub-section (1), the principle of inclusiveness shall be followed. (4) There shall be a Recommendation Committee constituted by the Ministry, with the Secretary of the Ministry as Coordinator, one expert member of the relevant subject appointed by the Ministry, and the Joint Secretary of the Ministry as Member-Secretary, to recommend appointments to the position of Chairperson to the Government of Nepal.

The Committee shall select suitable persons from among those meeting the qualifications under Section 17 through open competition as prescribed, and recommend them to the Government of Nepal for appointment.

(5) The term of office of members under clauses (e) and (f) of sub-section (1) shall be four years.

(6) Notwithstanding anything contained in sub-section (5), if a member's work is not found satisfactory, or if they act against the interests of the Board, or if their conduct is bad, or if they are inactive without performing duties, the Ministry may, before the expiry of their term, remove them from office by stating the reasons.

(7) Before removing a member under sub-section (6), they shall be given a reasonable opportunity to submit a defense.

15. Functions, Duties, and Powers of the Board: In addition to the functions, duties, and powers mentioned elsewhere in this Act, the functions, duties, and powers of the Board shall be as follows:-

- (a) to formulate national policies on advertising and recommend them to the Ministry,
- (b) to prescribe standards for testing the content of advertisements broadcast through communication media,
- (c) to formulate a code of conduct relating to advertisement production, broadcast, and distribution,
- (d) to encourage the production and publication/broadcast of advertisements relating to national interest and public interest according to the needs of the country,
- (e) to monitor or cause to be monitored whether advertisements contrary to this Act, or spreading confusion about non-existent matters, inciting excitement, disorderly, discriminatory, are made,

Amended by Some Nepal Acts Amendment Act, 2082. (f) to monitor and take action whether foreign channels broadcast without advertisements,

(g) to coordinate among the Government of Nepal, advertising agencies, advertisers, communication media, and government bodies,

(h) to recommend to the Ministry for conducting necessary programs for the development of qualifications and capabilities of the advertising business and businesses,

(i) to conduct or cause to conduct consumer awareness programs,

- (j) to reward those who perform outstanding work in the field of advertising,
- (k) to give necessary directives to advertisement producers, makers, distributors, or broadcasters,
- (l) to distribute all public interest advertisements provided by the Government of Nepal to communication media in a proportionate manner through the Board based on prescribed criteria,
- (m) to perform other functions as prescribed. 16.

Board Meetings and Decisions: (1) A meeting of the Board shall be held on the date, time, and place specified by the Chairperson. (2) The meeting of the Board shall be presided over by the Chairperson. (3) If more than fifty percent of the total number of members of the Board are present, the quorum for the Board meeting shall be deemed to be fulfilled. (4) The decision of the majority in the Board meeting shall prevail; in case of a tie, the Chairperson shall cast the deciding vote. (5) The decisions of the meeting shall be certified and kept by the Chairperson and the Amended by Some Nepal Acts Amendment Act, 2082. Secretary. (6) The Board may, if deemed necessary, invite experts on the relevant subject to the Board meeting. (7) Other procedures relating to Board meetings shall be as determined by the Board itself. 17. **Qualification of Chairperson:** The following person shall be considered qualified to be appointed to the position of Chairperson:- (a) a Nepali citizen, (b) having obtained at least a bachelor's degree from a recognized university in mass communication, law, advertising, or management, and having at least ten years of experience in that field, (c) having completed thirty-five years of age, (d) not having obtained permanent residency rights of any foreign country, (e) not disqualified by any law. 18.

Remuneration, Terms of Service, and Functions, Duties, and Powers of Chairperson: (1) The Chairperson shall be the executive head of the Board. (2) The term of office of the Chairperson shall be four years. (3) Notwithstanding anything contained in sub-section (2), if the Chairperson's work is not found satisfactory, or if they act against the interests of the Board, or if their conduct is bad, or if they are inactive without performing duties, the Government of Nepal may, at any time before the expiry of their term, remove them from office by stating the reasons. (4) Before removing the Chairperson under sub-section (3), they shall be given a reasonable opportunity to submit a defense. (5) The remuneration and other facilities of the Chairperson shall be as prescribed by the Government of Nepal. (6) In addition to the functions, duties, and powers mentioned elsewhere in this Act, the functions, duties, and powers of the Chairperson shall be as follows:- (a) to carry out the day-to-day administrative work of the Board, (b) to prepare the agenda for Board meetings, (c) to implement or cause to implement the decisions of the Board meetings, (d) to prepare drafts of the Board's policies and programs, (e) to expend the Board's budget, maintain accounts of expenditure, and arrange audits, (f) to carry out personnel administration of the Board, (g) to present the Board's annual budget and program, (h) to perform other functions delegated by the Board. 19. **Circumstances for Vacancy of Chairperson:** The position of Chairperson shall become vacant in the following circumstances:- (a) upon the expiry of their term of office, (b) upon completion of sixty-five years of age, (c) upon being convicted by a court for a criminal offense involving moral turpitude, (d) upon resignation, (e) upon death, (f) upon removal by the Government of Nepal under sub-section (3) of Section 18. 20. **Office and Employees of the Board:** (1) The office of the Board shall be located in the Kathmandu Valley. (2) The Ministry shall provide the employees required for the office of the Board. If the Ministry is unable to provide employees, the Board may employ employees on a service contract basis as prescribed. (3) The remuneration and terms of service of employees employed on contract under sub-section (2) shall be as prescribed. Chapter-4 Board's Fund and Audit 21.

Board's Fund: (1) The Board shall have a separate fund. (2) The following amounts shall be deposited in the fund under sub-section (1):- (a) amount received from the Government of Nepal, (b) three percent of the total

budget allocated by the Government of Nepal for distribution of advertisements through the Board, Provided that such amount shall not be deducted from the amount not spent on advertisement distribution. (3) The amount of the Board's fund shall be deposited in an account opened in a commercial bank. (4) All expenses of the Board shall be borne from the fund under sub-section (1). (5) The amount saved in the fund at the end of each fiscal year, after expenditure for advertisements from the amount received for advertisements in the fund from the Government of Nepal or government bodies, may be expended by the Government of Nepal in accordance with the prevailing law. (6) The operation of the Board's fund and account shall be as prescribed.

22. Audit of Fund: (1) The accounts of income and expenditure of the Board shall be maintained according to the accounting system adopted by the Government of Nepal. (2) The audit of the Board's accounts shall be conducted by the Auditor General.

Chapter-5 Regulation of Advertisements from Provincial and Local Level Communication Media

23. Monitoring and Regulation of Advertisements Made from Provincial Level Communication Media: (1) The monitoring and regulation of non-compliance with the standards under this Act and the prevailing law in advertisements made or done through print or electronic communication media operated with permission from the Provincial Government under the prevailing law shall be carried out by the Ministry responsible for information and communication matters as per the provincial law. (2) For the purpose of sub-section (1), there shall be a Monitoring and Regulation Committee chaired by the Secretary of the Ministry responsible for information and communication matters in the concerned province. In addition to the Chairperson, the Monitoring and Regulation Committee shall have a maximum of six members as prescribed by the Provincial Government by publishing a notice in the Provincial Gazette, based on the principle of inclusiveness. (3) While monitoring under sub-section (2), if it is found that someone has not complied with this Act or the rules or standards framed under this Act while advertising, the Committee shall issue an order to modify, stop, or remove such advertisement, stating the reasons.

It shall be the duty of the concerned party to comply with the order issued accordingly.

(4) A person who does not comply with the order under sub-section (3) or who advertises without complying with this Act or the rules or standards framed under this Act may be fined up to one hundred thousand rupees by the Committee under sub-section (2). If during monitoring, it is found that someone has committed an act constituting an offense under this Act while advertising, the Committee shall write to the relevant body to take action under this Act against such person.

(5) Other functions, duties, and powers of the Committee under sub-section (2) shall be as determined by the concerned Provincial Government, not contrary to this Act and the rules framed under this Act.

24. Monitoring and Regulation of Advertisements and Hoarding Boards from Local Level Communication Media: (1) The monitoring and regulation of non-compliance with the standards under this Act and the prevailing law in advertisements made or done through hoarding boards or print or electronic communication media operated at the local level with permission from the local level under the prevailing law shall be carried out by the concerned local level.

(2) For the purpose of sub-section (1), the local level shall make necessary legal arrangements.

(3) While monitoring under sub-section (1), if it is found that someone has not complied with this Act or the rules or standards framed under this Act while advertising, or has installed an unauthorized hoarding board, the local level shall issue an order to modify, stop, or remove such advertisement, stating the reasons. It shall be the duty of the concerned party to comply with the order issued accordingly.

(4) While monitoring under sub-section (1), a person advertising without complying with this Act or the rules or standards framed under this Act, or a person installing an unauthorized hoarding board or advertising on it, may be fined up to one hundred thousand rupees by order of the Judicial Committee of the local level. If during monitoring, it is found that someone has committed an act constituting an offense under this Act while

advertising, the local level shall write to the relevant body to take action under this Act against such person.

(5) Other provisions relating to monitoring and regulation of advertisements and hoarding boards from local level communication media shall be as determined by the concerned local level, not contrary to this Act and the rules framed under this Act. Chapter-6

Offenses and Penalties

25.

Offenses and Penalties: (1) If a person advertises contrary to sub-section (1) of Section 4, Section 5, 6, 7, 8, 9, 10, 11, or 12 of this Act, they shall be deemed to have committed an offense under this Act. (2) If a person commits an offense contrary to sub-section (1) or (2) of Section 5, the person committing or causing to commit such offense shall, if the prevailing law provides for any penalty for that offense, be punished accordingly, and if not, shall be liable to imprisonment for up to one year and a fine of up to ten thousand rupees. (3) If a person commits the following offenses, they shall be punished as follows:- (a) for an offense under sub-section (1) of Section 4, a fine of up to one hundred thousand rupees to the person committing or causing to commit, (b) for an offense under Section 6, a fine of up to five hundred thousand rupees to the person committing or causing to commit, (c) for an offense under Section 7, 8, 9, 10, 11, or 12 of this Act, a fine of up to one hundred thousand rupees to the person committing or causing to commit. (4) If any advertisement contrary to this Act is published, broadcast, or transmitted through a mass communication medium, the editor handling the editorial responsibility of such communication medium shall not be punished under this Act solely for that reason. Provided that there shall be no bar to punishing such editor under this section if they are also the operator of the mass communication medium. Chapter-7 Miscellaneous Amended by Some Nepal Acts Amendment Act, 2082.26. Must be Registered: (1) Communication media and advertising agencies engaged in advertising transactions shall submit details as prescribed and get registered with the Board. (2) Communication media engaged in advertising transactions existing at the time of commencement of this section shall get registered under sub-section (1) within one year from the date of commencement of this section. (3) The classification of registered communication media and agencies shall be as prescribed. 27.

May Lodge Complaint: (1) If anyone is found to have advertised contrary to this Act or the rules or standards framed under this Act, any person may provide information thereof to the Board, the Committee under sub-section (2) of Section 23, or the local level. (2) Based on the information received under sub-section (1), the Board, Committee, or local level shall, if it has the authority to take action itself, take action itself, and if it does not have jurisdiction, send it to the Board, Committee, or local level having authority for action. (3) If the complainant has submitted the complaint mentioning their name and address, the concerned Board, Committee, or local level shall provide information of the action taken on the complaint received under sub-section (1) to such complainant. 28. Authority to Adjudicate: (1) A case punishable under the prevailing law pursuant to sub-section (2) of Section 25 shall be initiated, heard, and decided by the court specified in such law; and if a case has to be filed under this Act because there is no provision for punishment in such law, the concerned District Court shall have the authority to initiate, hear, and decide the case relating to such offense. (2) The Judicial Committee of the concerned local level shall have the authority to initiate, hear, and decide the case relating to an offense punishable under clause (a) of sub-section (3) of Section 25. (3) The Board shall have the authority to initiate, hear, and decide the case relating to an offense punishable under clauses (b) and (c) of sub-section (3) of Section 25. 29. Case to be Filed Under Prevailing Law: (1) In relation to a case punishable under sub-section (2) of Section 25, if an offense is committed under the prevailing law and that law provides for a specific party to file the case, the case shall be filed accordingly. (2) In the case

under sub-section (2) of Section 25, if a case is not filed under the prevailing law and has to be filed under this Act, the case shall be filed with the Government of Nepal as the plaintiff. Such case shall be deemed to be included in Schedule-1 of the National Criminal Procedure Code, 2074. 30.

Provision Relating to Compensation: (1) If any person suffers any kind of loss or serious effect due to someone advertising contrary to this Act or the rules framed under this Act, or if someone's creation is used in an advertisement without the permission or approval of the author or creator, the aggrieved party may submit an application to the Board for compensation. (2) Upon receipt of an application under sub-section (1), if the Board, upon inquiry, finds that loss has been caused, it shall cause the advertiser to pay reasonable compensation to such applicant. 31. Appeal: An appeal against cases under this Act shall lie to the following courts within thirty-five days from the date of receipt of information of the decision:- (a) in the case of a decision initiated and decided by a District Court, to the concerned High Court, (b) in the case of a decision made by the Board, to the District Court, (c) in the case of a decision made by the Monitoring and Regulation Committee or the local level, to the concerned District Court. 32. Advertisements to be Made Through the Board: (1) When the Government of Nepal or bodies under the Government of Nepal publish or broadcast public welfare or other advertisements or notices, they shall do so through the Board, and the amount for such advertisement shall be expended through the Board. (2) Notwithstanding anything contained in sub-section (1), if the Government of Nepal or bodies under the Government of Nepal need to publish any advertisement or notice immediately, there shall be no bar to publishing the advertisement or notice through any medium, provided that a copy of the advertisement or notice is made available to the Board and the amount thereof is paid through the Board. 33. May Form Sub-committee or Task Force: (1) The Board may, as necessary, form a sub-committee or task force to assist in its work. (2) The functions, duties, powers, and procedures of a sub-committee or task force under sub-section (1) shall be as determined by the Board at the time of forming such sub-committee or task force. 34. Delegation of Powers: The Board may, as necessary, delegate some of the powers granted to it to the Chairperson or a member or any employee of the Board, the Monitoring and Regulation Committee under sub-section (2) of Section 23, a sub-committee or task force under Section 33, or any body of the Government of Nepal. 35.